

1. Introduction

- Infrastructure plays a crucial role in agriculture development.
- Development of infrastructure, especially at the post-harvest stage, ensures:
 - Optimal utilization of produce.
 - Opportunity for value addition.
 - Fair deal for farmers.
- Infrastructure development helps address:
 - Vagaries of nature.
 - Regional disparities.
 - Human resource development.
 - Realization of full potential of limited land resources.
- On 15.05.2020, Hon'ble Finance Minister announced ₹1 lakh crore Agri Infrastructure Fund for farm-gate infrastructure.
- Financing facility of ₹1,00,000 crore for Agriculture Infrastructure Projects at:
 - Farm-gate
 - Aggregation points
- Eligible entities include:
 - Primary Agricultural Cooperative Societies (PACS)
 - Farmers Producer Organizations (FPOs)
 - Agriculture entrepreneurs
 - Start-ups
- Focus:
 - Development of farm-gate & aggregation point infrastructure.
 - Affordable and financially viable Post Harvest Management infrastructure.
- DA&FW formulated Central Sector Scheme to mobilize medium–long term debt financing.
- Objective: Investment in viable post-harvest management infrastructure and farming assets.
- On 01.02.2021 (Budget Announcement):
 - Scheme extended to APMCs.
 - Cabinet approved modifications to make scheme inclusive.

2. Rationale of the Scheme

- Agriculture and allied activities are primary income source for ~58% of India's population.
- ~85% farmers are Small Holding Farmers (SHFs) (<2 hectares).
- SHFs manage ~45% of agricultural land.
- Annual income of majority farmers is very low.
- Infrastructure limitations:
 - Limited connectivity to markets.
 - 15–20% yield wasted (higher than global average of 5–15%).
- Investment trends:
 - <2% CAGR over last 5 years.
 - FY17 investment: ~₹2.19 lakh crore (83% private sector share).

- FY14 investment: ~₹2.50 lakh crore (88% private sector share).
- Low investor confidence:
 - Plowback ratio ~14% of GVA (FY18).
 - Other sectors: ~33% of GVA (FY18).

3. Objectives of the Scheme

Overall Objective

- Mobilize medium–long term debt financing facility.
- Invest in viable post-harvest management infrastructure and farming assets.
- Provide incentives and financial support.

a) Farmers (including FPOs, PACS, Marketing Cooperative Societies, Multipurpose Cooperative Societies, State Agencies, APMCs, National & State Federations of Cooperatives, Federations of FPOs, Federations of SHGs)

- Improved marketing infrastructure:
 - Sell directly to larger consumer base.
 - Increase value realization.
 - Improve income.
- Investment in logistics:
 - Reduce post-harvest losses.
 - Reduce intermediaries.
 - Improve market access.
- Modern packaging & cold storage:
 - Farmers can decide optimal sale timing.
 - Improve realization.
- Viable farming assets:
 - Improved productivity.
 - Optimization of inputs.
 - Substantial savings.

b) Government

- Direct priority sector lending into currently unviable projects.
- Support via:

- Interest subvention.
 - Convergence incentives.
 - Credit guarantee.
- Initiate cycle of innovation and private investment.
- Reduce national food wastage.
- Make agriculture competitive globally.
- Enable Central/State Agencies/local bodies to:
 - Structure viable projects.
 - Develop PPP projects.

c) Agri-entrepreneurs & Startups

- Dedicated funding source.
- Promote innovation.
- Leverage technologies:
 - IoT
 - AI
- Improve collaboration between entrepreneurs and farmers.

d) Banking Ecosystem

- Credit guarantee, convergence & interest subvention reduce lending risk.
- Expand customer base.
- Diversify portfolio.
- Refinance facility strengthens cooperative banks and RRBs.

e) Consumers

- Reduced post-harvest inefficiencies.
- More produce in market.
- Better quality.
- Better prices.

4. Implementation Period

- Operational: 2020–21 to 2032–33.
- Loan disbursement: Till FY 2025–26.
- As of 30 June 2024:
 - ₹43,391 crores sanctioned.

- ₹28,171 crores disbursed.
- Remaining ₹71,829 crores to be disbursed in FY 2024–25 and 2025–26.
- Repayment period:
 - Maximum 7 years.
 - Includes moratorium up to 2 years.

5. Government Budgetary Support

1. Interest Subvention

- 3% per annum.
- Applicable up to ₹2 crore.
- Valid for maximum 7 years.
- For loans > ₹2 crore:
 - Subvention limited to ₹2 crore.

2. Credit Guarantee

- Coverage via CGTMSE up to ₹2 crore.
- Fee paid by Government.
- FPOs may use:
 - FPO promotion scheme facility.
 - NABSanrakshan Trustee Company Pvt. Ltd.
- FPOs eligible for reimbursement under AIF.

3. Administrative Cost of PMU

- Central PMU: Farmers Welfare Programme Implementation Society (DA&FW).
- States/UTs:
 - Setup PMUs.
 - Create awareness.
 - Identify clusters.
 - Mobilize applications.
 - Review stakeholders.
 - Provide handholding support.

6. Eligible Projects

A. Post-Harvest Management Projects

- Supply chain services (including e-marketing platforms)
- Warehouses & Silos
- Cold Stores & Cold Chain
- Packaging Units

- Assaying Units
- Sorting & Grading Units
- Logistic facilities (Reefer Vans, Insulated vehicles)
- Ripening Chambers
- Farm residue/waste management
- Primary Processing Activities
- Integrated Primary & Secondary Processing

B. Viable Farming Assets

- Vermicomposting (Organic inputs)
- Compressed Biogas (CBG) Plant
- Bio-stimulant production
- Smart/Precision agriculture (Drones, Sensors, Blockchain, AI, IoT, GIS)
- Nursery
- Tissue culture
- Seed processing
- Custom Hiring Centers (min 4 machinery)
- Farm/Harvest Automation
- PM-KUSUM Components (A, B, C)
- Spirulina production
- Sericulture
- Honey processing
- Plant quarantine
- Crop cluster supply chain infrastructure
- PPP promoted projects
- Hydroponic farming
- Mushroom farming
- Vertical farming
- Aeroponic farming
- Polyhouse/Greenhouse
- Non-refrigerated logistics
- Tractor (Not eligible for individuals/farmers)

Notes

- Solarization of eligible infrastructure allowed.
- Digital connectivity & optic fiber eligible.
- Standalone secondary processing not eligible.
- PM-KUSUM Component-A:
 - Individual farmers/groups/FPOs/Cooperatives/Panchayats.
 - Solar plants up to 2 MW.

7. Size of Financing Facility & Eligible Beneficiaries

- ₹1 lakh crore via banks & financial institutions.
- Eligible:
 - PACS
 - Marketing Cooperative Societies
 - FPOs
 - SHGs
 - Farmers
 - JLGs
 - Multipurpose Cooperative Societies
 - Agri-entrepreneurs
 - Startups
 - Central/State/Local PPP projects
 - State Agencies
 - APMCs
 - National & State Federations
 - Federations of FPOs & SHGs
- APMCs (including fisheries produce markets) eligible.
- Digitized PACS get preference.

8. Number of Projects per Entity

- Interest subvention up to ₹2 crore per location.
- Multiple projects allowed in one location (cap ₹2 crore).
- Different locations: each eligible up to ₹2 crore.
- Private sector entities:
 - Max 25 projects.
- No 25-project cap for:
 - State agencies
 - Cooperatives
 - FPOs
 - SHGs
- Location = Separate LGD code.
- APMCs:
 - Multiple infrastructure types eligible.
 - ₹2 crore subvention per infrastructure type.

9. Participating Institutions

- Scheduled Commercial Banks

- Scheduled Cooperative Banks
- RRBs
- Small Finance Banks
- NBFCs
- NCDC
- MoU with NABARD/DA&FW required.

10. Refinance

- NABARD provides refinance support as per policy.

11. Cap on Lending Rate

- Decided after consultation.
- Circulated to stakeholders.
- MoU signed with DA&FW/NABARD.

12. Project Management & Handholding

- Online platform:
 - Loan application.
 - Interest rate comparison.
 - Scheme details.
 - Faster approval.
 - MIS dashboards.
- Geo-tagging of assets.
- PMUs prepare model DPRs with unit costs.

13. Convergence

Grants/subsidies allowed from schemes like:

- MIDH
- PMFME
- SMAM
- Gobar-Dhan
- PMKSY
- AMI

- PACS as MSC
- RKVY
- PM-KUSUM
- PMEGP
- Capital subsidy = promoter's contribution.
- Minimum 10% promoter contribution mandatory.

14. Monitoring Framework

- National Level Monitoring Committee (NLMC)
- State Level Monitoring Committee (SLMC)
- District Level Monitoring Committee (DLMC)
- Geo-tagging mandatory.
- Real-time monitoring.

15. OOMF

- Output & Outcome Monitoring Framework.
- Monitored periodically by DLMC, SLMC, NLMC.

16. PFMS Linkage

- Interest subvention & credit guarantee released via PFMS.
- Disbursal to Aadhaar-linked accounts.

17. Criteria for Eligible Borrower

- Decided by lending institutions.
- Consultation with NABARD.
- Based on project viability.
- Aim: Avoid NPAs.

18. VGF Requirement

- If required for PPP projects:

- Follow DEA norms.

19. Sector Specific Focus

- 24% grants-in-aid for SC/ST entrepreneurs:
 - 16% SC
 - 8% ST
- Priority for:
 - Women
 - Weaker segments

20. State Specific Focus

- Tentative allocation based on value of agricultural output.
- Total: ₹1,00,000 crore.
- Highest allocation:
 - Uttar Pradesh: ₹12,831 crore.
 - Rajasthan: ₹9,015 crore.
 - Maharashtra: ₹8,460 crore.
- Lowest allocation:
 - Chandigarh: ₹9 crore.
 - Dadra & Nagar Haveli: ₹10 crore.
 - Lakshadweep: ₹11 crore.